Requirement I

Date	ASSETS					= LIABILITIES		+ Owners Equity	Nature of owner's equity and Explanations.
	Cash	Supplies	Accounts Receivable	Office Equipment		Accounts Payable	Notes Payable		
May 1	8000							8000	Invested in the business
2	-800							-800	Office rent
3		500				500			
5	-50							-50	Advertisement Expense
9	1000							1000	Service Revenue
12	-700							-700	Withdrawals
15			3300					3300	Service Revenue
17	-2500							-2500	Salary Expense
20	-500					-500			
23	2000		-2000						
26	5000						5000		
29				2400		2400			
30	-150							-150	Utilities Expense
Total	11300	500	1300	2400		2400	5000	8100	

Total Assets = 15500

Total Liabilities + OE = 15500

So, ASSESTS = LIABILITIES + OWNERS EQUITY

Requirement II

Income Statement

Revenues:		
1. May 9, Service Revenue	1000	
2. May 15, Service Revenue	3300	
Total Revenues:		4300
Expenses:		
1. May 2, rent expense	800	
2. May 5, Advertizing Expense	50	
3. May 17, Salary Expense	2500	
4. May 30, Utilities Expense	150	
Total Expenses:		3500
Net Income		800

Statement of Owner's Equity

Capital at the beginning (May 1)	0
Add: New investment (May 1)	8000
Net Income	800
Total	8800
Less: Withdrawals: (May 12)	700
Capital at the end of the Month:	8100

Balance Sheet (May 30)

ASSETS		LIABILITIES & OWNER'S EQUITY	
Cash	11300	Liabilities:	
Supplies	500	Accounts Payable	2400
Accounts Receivable	1300	Notes Payable	5000
Office Equipment	2400	Total Liabilities	7400
		Capital (May 30)	8100
Total Assets	15500	Total Liabilities & Owners Equity	15500